



[Weekly Market Commentary](#)

Dear clients,

Many US market players appear to be trimming risk upon their return from the summer holidays with ostensibly little to do until after the Federal Reserve meeting on September 17-18. The Fed decision remains the key variable to watch for both traditional and crypto assets as investor sentiment remains muted while there are few other catalysts for either market. That said, we believe that the uncertainty regarding how the US election will affect the broader economy may be keeping many investors sidelined. In fact, open interest in perpetual futures for BTC and ETH has been stagnant at around US\$15.0B and \$7.3B respectively since mid-August, with funding rates stuck in (positive) single-digit territory.

Meanwhile, onchain trading activity has continued to taper lower in the wake of the unwind in early August. Both Ethereum and Solana decentralized exchange (DEX) volumes have reached levels last seen in February this year. Ethereum's average daily DEX volume to start September is \$1.25B, down 26% from an average \$1.70B in the preceding three months. Solana DEX volumes appear to be heavily impacted as well, retracing a full 50% over the same period from \$1.51B to \$752M – though that may also be a reflection of the recent fragmentation in memecoin activity.

Finally, a series of regulatory actions has refocused attention on the need for a clear legislative framework in the space. The SEC sent a Wells notice to OpenSea, suggesting they believe that NFTs may fall under their purview. Later, the SEC then warned the FTX estate against making repayments in digital assets or stablecoins, reserving its rights to “challenge” crypto asset transactions. Separately, the CFTC also levied charges against Uniswap Labs for offering derivatives trading, targeting a number of leveraged tokens that were made available through the front end trading interface that Uniswap Labs operates.

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